FIRST RAISE

A demand-engineered software studio.

A modern software studio for disciplined, cash-yielding software.

Artificial Capital underwrites demand first, then builds or acquires niche software inside a tightly capped risk envelope. The objective is repeatable cash-yielding assets, not venture-style power-law dependence.

VALIDATE

Demand evidence before meaningful product capital is committed.

DEPLOY SMALL

$25k-$100k initial exposure per asset, with hard gates on follow-on capital.

COMPOUND

Cash yield, selective exits, and recycled portfolio learning across the fund.

WHY THIS CAN EXIST NOW

Software build cost collapsed. Distribution shifted into niche trusted channels. Small utilities now have a real buyer market. That turns small software from a side-project category into an underwritable asset class.

TARGET FUND SIZE

$1M

Sized for disciplined experimentation, concentrated operating support, and enough breadth to produce portfolio-level outcomes.

CAPITAL MODEL

Validate demand. Build or buy the minimum useful asset. Launch through trusted distribution. Recycle operating cash into the next set of validated opportunities.

WHY NOW

The Market Has Inverted.

The conditions that once required venture-scale capital have flipped. Small software can now be built cheaply, distributed efficiently, and exited into a real buyer market.

BUILD COST

$15k MVP

The cost basis has collapsed

Down from $250k+ in the old world, thanks to AI-assisted development and modern tooling.

EXIT MARKET

4-8x ARR Exits

Liquidity exists now

A liquid, predictable market for profitable micro-SaaS assets now exists.

DISTRIBUTION

Creators Own Distribution

Trusted channels beat cold start CAC

Niche audiences are now reachable directly through trusted creators, bypassing paid ad platforms.

TALENT

Tier 1 Talent is Available

Operators are leaving large platforms

Top operators are leaving big tech to build small, profitable software.

What was once too small, too fragmented, and too illiquid to fund can now be underwritten as a repeatable asset strategy.

THE MODEL

Traditional venture is optimized for breakout outcomes. This model is optimized for repeatable cash-flowing assets.

Traditional VC

CAPITAL	$5M–$20M rounds and company-level risk.
RETURN DRIVER	Power-law exits and aggressive multiple expansion.
OPERATING MODE	Burn-first growth with long feedback loops.
LIQUIDITY	Typically 7–10 years and highly exit dependent.

Artificial Capital

CAPITAL	$25k–$100k per asset with capped exposure.
RETURN DRIVER	Cash yield first, with optional asset exits on top.
OPERATING MODE	Demand validation before build and faster learning cycles.
LIQUIDITY	Potential distributions and asset sales inside 3–5 years.

The portfolio does not need a unicorn. It needs disciplined winners and controlled losses.

THE MARKET CATALYST

Small software became investable when four market shifts converged.

RESET POINT

$15k–$40k

Typical MVP build cost today

What previously required venture-scale capital can now be built, validated, and launched inside a much smaller risk envelope.

AI-ASSISTED BUILDS

Lean teams can now ship credible software with materially lower fixed cost and faster iteration cycles.

CREATOR-LED DISTRIBUTION

Trusted niche audiences can be reached through operators and creators before paid acquisition becomes necessary.

FRAGMENTED SMB DEMAND

Focused utilities solve painful workflows too small for broad venture-backed roadmaps to prioritize.

MICRO-SAAS EXIT MARKET

A real buyer base already exists for profitable small software assets, often around 4–8x ARR.

The category is investable now because build cost, distribution, demand fragmentation, and liquidity all changed at the same time.

THESIS

The thesis is a system, not a slogan.

Fund I converts software cost compression into investable outcomes through three linked disciplines. Each one reduces a different type of portfolio risk.

OPERATING LOGIC

01 Demand underwriting

02 Owned distribution edge

03 Strict capital controls

DEMAND ENGINEERING

Validate before capital
Interviews, prepaying customers, and conversion thresholds reduce idea risk before product risk begins.

CREATOR DISTRIBUTION

Launch into trust
Products enter niche channels where distribution already exists, rather than relying on paid acquisition from day one.

CAPITAL DISCIPLINE

Keep loss bounded
Capital caps, staged deployment, and portfolio recycling keep the model liquid enough to learn fast and compound selectively.

CURRENT RAISE

$250k first close to begin deployment.

Target LPs: operators, angels, and family offices seeking cash yield from small software.

The edge is not just building software cheaply. It is underwriting small software better than traditional venture can.

WHY THIS TEAM

The edge is the combination of underwriting discipline, operator execution, and niche SaaS experience.

UNDERWRITING

Downside-first capital allocation

PwC M&A diligence and credit underwriting experience creates a bias toward controllable risk and measurable return paths.

OPERATING

Built under constraints

The team has launched products without venture-scale budgets and understands how to prioritize around real customer pain.

CATEGORY INSIGHT

Micro-SaaS pattern recognition

Farmzz and current pipeline activity provide live feedback on acquisition, retention, and small-market demand.

SELECTED OPERATING CONTEXT

pwc · Investissement Québec · Capgemini · Divertissement AI · farmzz · MonsieurChalets · tiny

Operating context reflects direct exposure to underwriting, product execution, and live niche software demand.

OPERATORS + ALIGNMENT

Operators engineered for capital discipline.

Nick Nihezagire

PARTNER

Leads underwriting, downside-first capital allocation, and institutional portfolio discipline.

- $50k+ of GP capital committed alongside LPs.

Espoir B.

CO-FOUNDER & OPERATING PARTNER

Owns product execution, shipping cadence, and the operating layer that keeps experiments lean.

- Soft launch drove 600+ users, 10 stores, and 1.8k+ waitlist demand on a $3k budget.

Raphael Tremblay-Bouchard

PARTNER

Brings live niche SaaS operator experience, practical GTM pattern recognition, and customer empathy.

- Farmzz serves 50+ paying enterprise customers and has grown 15% month over month.

WHY THIS CANNOT BE COPIED

The moat is the operating system behind the fund, not the idea alone.

CREATOR NETWORK

Relationships compound over time

Distribution access comes from earned creator and operator relationships, not cold outreach that a new entrant can replicate overnight.

DEMAND DATASET

Benchmarks improve with use

Each interview, conversion test, and failed gate improves the firm's underwriting pattern recognition across verticals and pricing thresholds.

CAPITAL DISCIPLINE CULTURE

Process constrains behavior

The edge is a disciplined operating cadence with hard gates, capped exposure, and a willingness to stop when evidence is weak.

OPERATOR BACKGROUNDS

Execution experience is specific

The team combines institutional underwriting discipline from PwC and Investissement Quebec with product and GTM execution from live operator roles across the portfolio.

The moat is the system, not the idea.

DEMAND DISCOVERY ENGINE

Our demand engine tests problems in public markets.

TikTok

Instagram

Reddit

100k+
Aggregate views

300+
Comments captured

Multiple validated problem statements

Signals came from public channels where users reacted before any product was built.

AUDIENCE COMMENT

"I would pay for this."

AUDIENCE COMMENT

"Where can I use this?"

AUDIENCE COMMENT

"This solves a problem I have."

We validate demand with real market signals, not biased surveys.

FOUNDER PROOF

Founder proof: we know how to execute.

farmzz

A live operating case already exists inside the team: identify a narrow workflow, ship a useful product, and win customers without venture-style burn.

- Built and launched a marketplace platform.
- Secured early users and supplier relationships.
- Executed product development and distribution without venture capital.

CUSTOMERS	GROWTH	ECONOMICS
50+	15% MoM	Profitable

WHAT THIS PROVES

Execution capability already exists inside the team.

The point is not one logo. It is evidence that the operators behind the fund have already built, sold, and supported real software in market.

- Product building experience in a real vertical market.
- Customer acquisition capability before scale capital.
- Operator resilience under constrained budgets.

PROOF	MODEL	LEARNING LOOP
Revenue live	No venture burn	Live customer feedback

This is not an idea fund. It is an operator-led studio.

VALIDATION MODEL

Nothing gets built without a validation gate.

The purpose is to eliminate idea risk before product risk. If a concept fails the gate, capital stops there.

GATE 01	GATE 02	GATE 03	DECISION
Audience signal	Payment signal	Conversion signal	Build only after all three gates clear

GATE 01

50k+

Audience views

Early market response around the app created a measurable signal of audience pull before additional capital commitment.

- Assess whether audience attention converts into direct inquiry and repeat engagement.
- Measure response quality, not just raw reach, to distinguish signal from noise.

INQUIRY | REPEAT ENGAGEMENT | NOISE FILTERED OUT

GATE 02

3+

Prepaying customers

Hard proof of willingness to pay before the team writes meaningful code.

- Validate that the buyer will commit money, not just attention.
- Confirm the use case is painful enough to justify switching.

GATE 03

2%+

Landing-page conversion

Messaging resonates before product capital is committed.

- Test the promise and offer before build.
- Confirm the channel can pull qualified interest.

NO BUILD BEFORE GATE CLEARANCE.

DECISION

Build

After all three gates clear

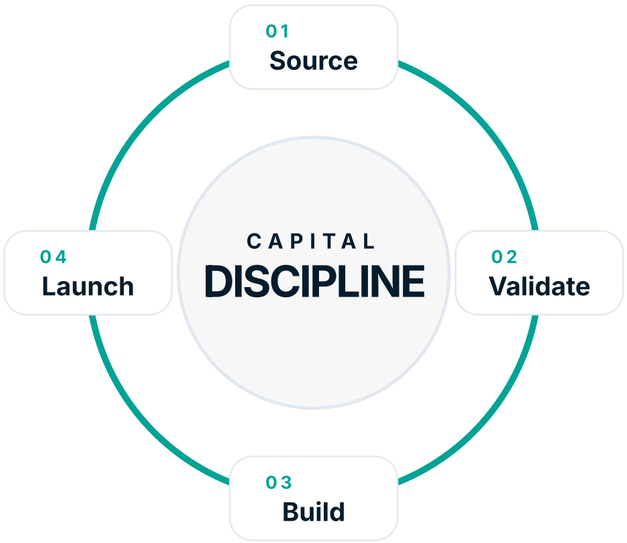
Capital moves only when the evidence is investable.

Failed gates are a feature, not a bug.

Validation is not a slide in the process. It is the investment committee for every asset before real capital goes in.

DEMAND DISCOVERY ENGINE

A repeatable demand discovery engine turns sourcing into a process rather than intuition.



01
Source the niche
Look for concentrated workflow pain in narrow verticals where incumbents are too broad or too slow.

02
Validate demand
Get to willingness-to-pay evidence before product confidence appears, and stop quickly when the signal is weak.

03
Build the minimum utility
Constrain scope around one repeatable workflow and keep initial exposure inside a predefined loss envelope.

04
Launch into owned demand
Use trusted operator or creator channels first, then scale only after the asset shows durable utility.

Each cycle is meant to answer one question quickly: should more capital be committed here or elsewhere?

PIPELINE

The pipeline is already diversified by stage, source, and maturity.

OPERATING	BUILD	ACQUISITION	VALIDATION
1 live asset	1 asset underway	1 active path	1 concept in test

OPERATING

FARMZZ

Agri SaaS
Live revenue, active customers, and direct operator feedback already informing the broader portfolio playbook.

- 50+ paying enterprise customers with ongoing usage data.

BUILD

SELAH

Fintech workflow utility
Product in development against validated workflow pain, with a narrow scope intentionally designed around monetizable utility.

- Single-workflow build scoped around validated willingness to pay.

ACQUISITION

ALARMY 2.0

Wellness micro-acquisition
A live software asset with existing demand where acquisition can accelerate time-to-cash rather than restart the validation cycle.

- $25k MRR and profitable at the current operating base.

VALIDATION

NICHE SOCIAL SCHEDULER

Creator workflow tool
Customer interviews and channel tests are being used to determine whether the demand merits a build, a buy, or no capital at all.

- Public-facing validation via social content has generated 25k+ views, confirming audience propensity to pay.

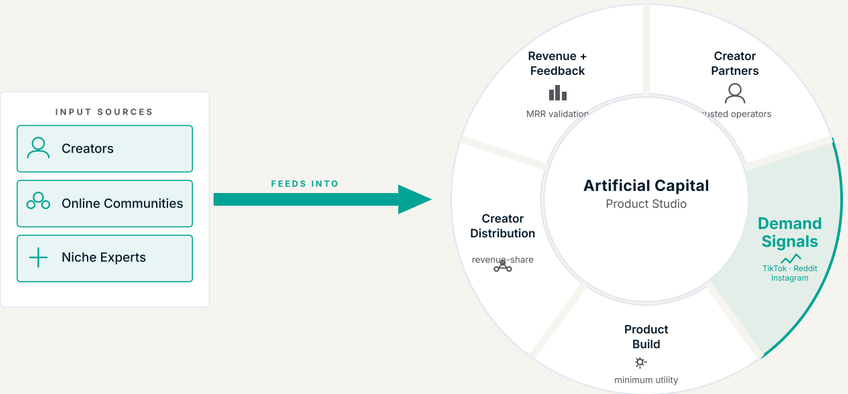
The fund starts with an active sourcing engine, not a blank page.

CREATOR DISTRIBUTION

Demand is engineered through trusted creators before paid acquisition becomes necessary.

STRATEGIC SOURCING & DISTRIBUTION

Demand engineering leverages embedded creator trust to validate and compound distribution prior to product development.



STRUCTURE

The network is built around trusted operators and creators whose audiences already map to the workflow being underwritten.

MECHANISM

Creators transfer trust, surface objections early, and help refine the offer before meaningful capital is spent on scale.

ECONOMICS

The model avoids early CAC dependency. Creators participate through revenue share or performance-based economics tied to durable distribution support, which gives them upside without forcing paid acquisition on day one.

NOT THE TRADITIONAL MODEL

Not paid ads. Not broad cold-start acquisition. Not immediate CAC pressure before product-market evidence exists.

Creators participate because the model aligns audience trust, product relevance, and economics from the start.

PORTFOLIO CONSTRUCTION

Fund I is built for multiple shots on goal without a single-asset dependency.

FUND SHAPE

$1M

8–12 assets with staged deployment

The objective is enough portfolio breadth to create repeatable cash-flow exposure, while keeping the operating layer concentrated and disciplined.

Hard validation gates

Capital moves in stages rather than all at once.

Capped loss per experiment

Failure is expected, but the dollar cost of failure is controlled.

Return concentration

A handful of winners can drive returns without the fund depending on a single breakout company.

FUND STRUCTURE

$1M target size

8-12 targeted assets with a 3-5 year hold period and staged capital deployment.

TARGET ALLOCATION

70% new builds / 30% acquisitions

New capital goes to demand-validated products. Acquisition capital goes to profitable micro-SaaS with immediate operating relevance.

RISK MANAGEMENT

Hard gates. Capped exposure. Fast failure.

The portfolio is designed so no single asset can impair the fund, while a small number of hits can still drive the outcome.

CAPITAL DEPLOYMENT STRATEGY

Capital deployment matches the economics of small software.

INITIAL $1M ALLOCATION EXAMPLE

40% / $400k	Product builds for demand-validated assets with controlled initial scope.
30% / $300k	Acquisitions of profitable micro-SaaS where time-to-cash beats time-to-build.
30% / $300k	A dedicated operating runway replacing traditional management fees, allowing the partners to build, acquire, and operate the assets directly.

STUDIO RUNWAY BREAKDOWN

- Two-year dedicated operating runway for the 2 central studio partners ($75k/yr each) to act as the core execution engine.
- The third partner operates Farmzz directly and is compensated via asset-level cash flow, preserving fund capital.
- Zero upfront marketing CAC. Distribution is secured exclusively through creator revenue-share partnerships.
- Eliminates the traditional 2% management fee, ensuring maximum LP capital is deployed directly into assets.

$25k

Typical build cost

Lean product scope and fast validation keep initial exposure low.

$5k–$10k

MRR breakeven

A realistic threshold for useful, niche workflow products.

12–18

Months payback

The capital cycle is designed to return quickly enough to compound selectively.

FAILURE MATH + LIQUIDITY

The portfolio is built so misses do not break the fund.

Illustrative portfolio outcome model

35%

Fail

Some assets never reach breakeven. Losses are bounded by validation gates and small initial checks.

45%

Base Hits

A meaningful share should cover cost, preserve optionality, and contribute operating cash back into the portfolio.

20%

Winners

A small number of stronger assets can drive the majority of return through yield first and exits second.

FUND LOGIC

A disciplined portfolio can generate strong, repeatable returns even with a 35% failure rate.

The model works because exposure is capped at entry and upside comes from multiple independent assets rather than a single breakout dependency.

ILLUSTRATIVE UNDERWRITING CASE

SCENARIO	# ASSETS	UNDERWRITING CASE	TOTAL VALUE
Failures	3	$0 recovered	$0
Base hits	5	$15k MRR / 4x ARR exit	~$3.6M
Winners	2	$50k MRR / 5x ARR exit	~$6.0M
Total portfolio value	**10**	**Illustrative case on ~$1M deployed**	**~$9.6M**

Assumes base-hit exits around 4x ARR and winner exits around 5x ARR, with value created from a mix of cash generation and selective asset sales.

The portfolio does not need a unicorn. It needs disciplined hits, bounded losses, and real liquidity paths.

ROADMAP

The roadmap is measured by validated assets, not vanity growth.

MONTH 12

4 products live

A portfolio of validated utilities in market with clear retention and monetization signals.

- Validated launches
- Early retention + monetization proof

MONTH 18

Portfolio breakeven

Operating cash flows cover the run-rate support structure of the studio.

- Shared support covered
- Recycled capital into next builds

MONTH 24

First LP distributions

Initial capital returns from yielding assets, with optional sales beginning to emerge.

- Cash yield distributions begin
- Selective asset sales create upside

Progress is measured by validated assets in market, not by vanity growth narratives.

STUDIO ECONOMICS

LP economics are straightforward and aligned with long-term portfolio performance.

0% / 1.5%

0% Management Fee + Milestone Step-Up

No standard management fee. The central partners operate on a fixed $75k/yr runway for Years 1 and 2. Salaries automatically step up to market rates only when aggregate portfolio MRR crosses a predefined profitability milestone, with the delta funded entirely by portfolio cash flow.

20%

Carried interest

Paid only above the preferred return.

Only after hurdle is cleared

Aligned to realized portfolio outcomes

8%

Preferred return

Cumulative, non-compounding hurdle.

LP protection before carry begins

Clear, institutional economics

Terms are designed to reward realized portfolio performance rather than markups or isolated asset outcomes.

CURRENT RAISE

Raising a $250k first close to begin deployment immediately.

FIRST CLOSE

$250k

Immediate deployment against validated opportunities

The first close is intended to convert an already active sourcing and validation engine into a live portfolio.

USE OF PROCEEDS

- Build two demand-validated assets
- Acquire one profitable micro-SaaS
- Fund the shared operating layer behind the portfolio

TARGET RAISE	MINIMUM LP	LP PROFILE
$1M	$100k	Operators, angels, FOs

PRIMARY CONTACT

Nick Nihezagire

The fund is being raised against an already active sourcing and validation engine, not a cold-start pipeline.

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USE

Build, acquire, support.

DISCLOSURES

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